

2026 and 2027 QUALIFIED ALLOCATION PLAN

Submitted on December 1, 2025 and amended on ____ by:



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I. Introduction

The federal Low-Income Housing Tax Credit (LIHTC) program was established by the Tax Reform Act of 1986 and is codified in Section 42 of the Internal Revenue Code of 1986, as amended (I.R.C. § 42), to encourage construction and rehabilitation of low-income rental housing. The Arizona Department of Housing (ADOH) is the agency responsible for allocating LIHTCs. I.R.C. § 42(m) requires housing credit agencies to allocate LIHTCs pursuant to a Qualified Allocation Plan (QAP). ADOH has adopted this QAP for 2026 and amended it for 2027 to administer LIHTCs and state tax credits (STC).

A. Public Input and Drafting Principles

To obtain public input in drafting this QAP, ADOH held five focus groups (Tribal, Nonprofit, General Contractor/Architect/Engineer, Developer, and Local Government), held a large general session at the Arizona Housing Forum, held a Tribal stakeholder session at the Arizona Housing Forum, held a public hearing after the second draft and final draft were published, and actively solicited written comments.

In addition to considering input from interested parties, ADOH followed principles in alignment with its strategic plan in drafting the QAP:

- equal distribution of resources across the state;
- need to sustain long-term partnerships;
- responsibility to low-income households;
- transparency throughout the process;
- efficient use of time for all parties; and
- selection criteria reflecting:
 - preservation of long-term affordability,
 - shovel-ready housing projects, and
 - optimizing allocation of tax credit resources.

B. Amendments and Clarifications

From time to time, ADOH may amend the QAP following a posted notice on its website, a public meeting, and email notification sent to all applicants (the last for amendments after the submission due date). ADOH may also periodically post written clarifications regarding its interpretation and/or application of the QAP.

C. Use of Discretion

In the process of administering the LIHTC program, tax-exempt bond volume, and STCs, ADOH reserves the right to make decisions and interpretations regarding the QAP and applications. ADOH may evaluate a Developer's progress on awarded projects and at its discretion make decisions about future awards. Unless otherwise stated, ADOH is entitled to the full discretion allowed by law in making all such decisions and interpretations. ADOH further retains all discretion, to the extent permitted by law, to address any circumstances that are not directly addressed by the QAP, but nonetheless arise under or are related to its regulatory authority. At any time, ADOH may amend, modify, or withdraw QAP provisions that are inconsistent or in conflict with state or federal laws or regulations.

In the event of a major:

- weather-related disaster,
- disruption in the financial markets,
- change in resources available, or
- other unforeseen, consequential circumstance,

ADOH may, in its sole discretion, modify or decline to apply any section of the QAP, including deadlines, point scoring, and evaluation criteria. Applicants may request that ADOH waive specific QAP requirements other than Threshold Eligibility criteria. Any waiver requests must be submitted with the application and be supported by a detailed narrative explanation sufficient to permit ADOH to determine whether the waiver: 1) is consistent with federal, state, and ADOH requirements; 2) is justified under the circumstances; and 3) does not adversely affect the project's feasibility or the interests of future tenants. ADOH reserves the right to grant or deny waivers in its sole discretion.

D. Disclaimer and Limitation of Liability

ADOH makes no representations to anyone regarding project eligibility or compliance with the Internal Revenue Code, I.R.S. and U.S. Department of the Treasury regulations, or any other laws or regulations governing the LIHTC program. All parties participate in the LIHTC program at their own risk. No member, officer, agent, or employee of ADOH or the State will be liable for any claim arising out of, or in relation to, any LIHTC project or ADOH's administration of the LIHTC program, including claims for repayment of construction, financing, carrying costs, any loss resulting from a decision of the Internal Revenue Service (I.R.S.), or consequential damage or loss of any kind incurred by any person.

ADOH will make a public disclosure of LIHTC Applications as provided by A.R.S. Title 39, Chapter 1 Article 2. Applicants must only enter confidential information such as taxpayer identification numbers at the specific locations required by the Application materials or the QAP. All information included in an Application submitted to ADOH is subject to disclosure to the public unless specifically exempted from disclosure by statute or Arizona's Public Records Law, as applied. Applicants must redact confidential information from documents if the information is not specifically required by ADOH. ADOH may redact information or withhold records that are protected from disclosure pursuant to Arizona law.

II. Application/Award Process and Fees

Unless otherwise indicated, the criteria in this QAP Section II applies to all applications, including those for 4% LIHTCs.

A. Identifying the Applicant

Each application must identify one individual or validly existing entity as the Applicant. An entity may be a corporation (including nonprofits), limited partnership, limited liability company, tribe, or tribally designated housing entity. The Applicant will:

- execute the application,
- receive ADOH communications, and
- exercise sole authority to make decisions (ADOH will not consider agreements regarding the relative rights of joint venture parties).

If the application receives an award, the Applicant must become a managing member or general partner of the ownership entity, which may be done through a single purpose pass-through entity.

B. Application Requirements

ADOH will specify the form, manner, and process for receiving applications and may require the submission of additional information, letters, and/or representations before or after submission deadlines. Applicants must comply with all such requirements to the same extent as if fully stated in this QAP.

C. Application/Award Schedule

ADOH may deem an application ineligible for failure to meet a deadline. In ADOH's sole discretion, ADOH may change the award schedule to accommodate weather events or any other circumstances that may affect the logistics of submissions.

1. 4% LIHTC

ADOH will accept applications for 4% LIHTCs under the 2026-2027 QAP on an ongoing basis after the 2026-2027 QAP is adopted.

2. 9% LIHTC

2026 COMPETITIVE ALLOCATION ROUND

Applications Due	Wednesday, April 1, 2026 by 4:00 pm Mountain Standard Time
Reservation Announcements	Monday, June 1, 2026

2027 COMPETITIVE ALLOCATION ROUND

Applications Due	Thursday, April 1, 2027 by 4:00 pm Mountain Standard Time
Reservation Announcements	Tuesday, June 1, 2027

D. Curing Errors and Omissions

Applicants are required to submit a complete application. In its sole discretion, ADOH will adopt a consistent approach on how to address erroneous, omitted, or outdated information within the application materials. ADOH will apply methods equally to all Applicants. Possibilities include:

- contacting the Applicant;
- asking third parties with relevant knowledge;
- making a change and informing the Applicant;
- charging a fee of up to \$1,000 per application; and/or
- determining the application is ineligible.

E. Acknowledgement and Consent from Local Government

ADOH will notify the local government where the project is located and request that it provide a letter of acknowledgement and consent to the project pursuant to A.R.S. § 35-728(C). The local government has thirty (30) calendar days from the date of the letter to respond. If the local government either fails to respond or indicates the proposed project is unfavorable, ADOH will determine whether the reason or basis for local opposition conflicts with A.R.S. § 35-728(C), and/or whether the objectionable characteristic(s) can be mitigated, before determining whether a project is ineligible for an award. Any allocation is conditional in the event that the local government denies consent and the allocation is the subject of review by a court or tribunal of competent jurisdiction. Tribal projects may also submit a

resolution to satisfy this requirement, so long as the resolution includes language demonstrating consent from the local government.

F. ADOH Fees

All fees must be paid by original check or electronically through ADOH's payment portal and are non-refundable:

Application Fee: \$7,000 for each tax credit Application.

Gap Application Fee: \$1,600 for each ADOH rental housing gap application.

Reservation Fee 9% LIHTC: Ten percent (10%) of the annual 9% LIHTC allocation. Eight percent (8%) of the Reservation Fee is due and payable within thirty (30) days of Reservation letter with the remaining two percent (2%) due and payable at final allocation and prior to issuance of Form(s) 8609.

Reservation Fee 4% LIHTC: Ten percent (10%) of the annual 4% LIHTC allocation. Eight percent (8%) of the Reservation Fee is due and payable within thirty (30) days of Determination of Qualification of Tax Credits letter with the remaining two percent (2%) due and payable at final allocation and prior to issuance of Form(s) 8609.

Underwriting Fee: \$1,600 for each full underwriting

Subsidy Layering Fee: \$1,070 for each subsidy layering.

Administration Fee: \$1,600 for each material change or action prompting additional administrative review.

Late Fee: \$260 per day for information received after the carryover allocation, ten percent (10%) test, building plan submittal, or 8609 submission deadline as specified in the ADOH reservation letter or Post Award Manual.

Compliance Monitoring Fees (annual):

\$80 per low-income unit within a multiple building project.

\$90 per low-income unit when each BIN is its own project building.

\$150 per low-income unit for buildings in which the owner has elected average income.

Compliance Monitoring Fees are due annually on March 15th. ADOH will assess a \$100 late fee for every thirty days the owner/agent is delinquent in paying the monitoring fee.

Reissuance of Form 8609: \$260 fee for each 8609 form that is re-issued after it is signed and issued to the owner. If 8609 forms for the entire project are necessary, fees shall not exceed \$2,500.

G. 9% LIHTC Unsuccessful Applicants

After ADOH announces the 9% LIHTC awards, ADOH will provide a final decision to the unsuccessful Applicants pursuant to A.R.S. §§ 41-1092, *et seq.* Unsuccessful applicants may request a meeting with staff to discuss their application.

III. 9% LIHTC Limits, Set-Asides, and Award Adjustments

ADOH will award 9% LIHTCs pursuant to the below limits and set-asides. The awards may also include additional same year or forward commitments.

A. Limits on Awards

ADOH will award up to the full number of awards stated under each set-aside. Projects may only compete in one set-aside.

The maximum award of federal 9% LIHTCs per:

- Application is \$2,500,000
- Principal is no more than one award
- County is one New Construction set-aside award in the Rural/Balance of State and Metro categories on an alternating basis, starting with the highest scoring project per category (projects awarded under Section E will count toward the one project per county).

ADOH may make an additional award per county after the counties in each category have received an award. Any such awards will alternate between the two Metro counties. ADOH may exceed the county limit if there are insufficient eligible applications.

B. Rehabilitation Set-Aside

ADOH will award up to two (2) 9% LIHTC awards to applications proposing the rehabilitation of existing housing. These properties may be located in any county. In the event an application proposes both new construction and rehabilitation, ADOH will determine the appropriate set-aside. Projects applying under the Rehabilitation set-aside must have a minimum of twenty (20) units. Rehabilitation scattered site projects are exempt from site distance limitations.

C. New Construction Set-Aside

ADOH will award applicants proposing to construct new housing (including adaptive re-use) as set forth below. Projects applying under the New Construction set-aside must have a minimum of forty (40) units. For scattered site projects, the maximum distance between the two most distant sites shall not exceed ten (10) miles.

1. Rural / Balance of State

So long as there are sufficient eligible applications, ADOH will award up to three (3) 9% LIHTC awards in the 13 Rural counties,.

2. Metro

ADOH will award the remaining 9% LIHTCs to applications in Maricopa and Pima counties.

D. Tribal Set-Aside

ADOH will award up to two (2) 9% LIHTC applications where the subject real estate is located entirely on Tribal land. New Construction projects located on Tribal Land must compete within the Tribal Set-aside. However, Tribal Nations can submit a Rural or Metro Project located outside of Tribal Land, which will be evaluated according to the applicable Rural or Metro scoring criteria. Projects applying under the

Tribal set-aside must have a minimum of twenty (20) units. For scattered site new construction projects, the maximum distance between the two most distant sites shall not exceed twenty (20) miles.

Tribal land is defined as all lands within the exterior boundaries of any land formally designated by the federal government as a Tribal reservation or land set apart by the federal government for a Tribe's use, such as pueblos and Tribal trust lands, but it does not include land that the Tribe acquired legal title to through non-federal designation or award, unless (1) the Tribe has obtained a federal public law stating that the Tribal members who reside in a particularly named area shall be considered (without any fiscal year limitation) for the purposes of the United States Housing Act of 1937 or such other federal housing law as residing on an Indian reservation or other Indian area; or (2) the Tribe has acquired the land under Public Law 99-503 that provides for the replacement of certain lands within the Gila Bend Indian Reservation, the Secretary of the Interior holds such land in trust for the benefit of the Tribe, and such land is deemed to be a Federal Indian Reservation for all purposes. To be considered located on Tribal land, the project must be wholly located in the particular area stated in the federal public law.

E. Award Adjustments

If necessary, ADOH may adjust award outcomes in any set-aside to ensure it is awarding at least the amounts described below. Specifically, 9% LIHTCs that would have been awarded to the lowest ranking application(s) that do(es) not meet the below criteria instead will be awarded to the next highest-ranking application which does.

1. Nonprofit

Fifteen percent (15%) of LIHTCs to one or more applications involving a tax-exempt organization (nonprofit) which:

- is the listed Applicant (or the nonprofit organization must own one hundred percent (100%) of the general partner interest in the Development);
- has fostering of low-income housing as one of its exempt purposes;
- becomes a managing member or general partner of the ownership entity; and
materially participates, as defined under federal law, in the acquisition, development, ownership, and ongoing operation of the property for the entire compliance period.

Qualified nonprofits must submit their I.R.S. determination letter in their entity documentation.

2. Choice Neighborhoods

One (1) award to an application designated as a Choice Neighborhoods project by a public housing authority implementing a HUD Choice Neighborhoods implementation grant.

F. Innovation or Unique Opportunities

ADOH may, within its sole discretion, award LIHTCs to one (1) eligible application outside the QAP scoring selection criteria based on one or more of the following considerations:

- unique construction methods;
- innovative approach to development;
- scale of community impact;
- regional distribution;
- unique funding/leveraging opportunities; and

- disaster recovery response.

Projects must meet Threshold Eligibility criteria in order to be considered under this category.

G. Recycled Allocations and Commitments

An ownership entity returning and recycling a valid allocation of tax credits between July and December will receive an allocation of the same amount of the current year LIHTCs if:

- the project's design is the same as when awarded (other than changes approved by ADOH); and
- the ownership entity pays a fee equal to the original eight percent (8%) Reservation Fee at the time the new carryover agreement is issued.

None of the Principals for the returned project may either:

- be part of an application in the next 9% LIHTC application round; or
- apply for 4% LIHTCs or gap financing related to any project until construction starts on the project receiving the recycled allocation.

The project must place in service one (1) year after the original place in service date.

ADOH may make a forward commitment of current or future year's LIHTCs in an amount necessary to fully fund project(s) with a partial award or to any application meeting QAP requirements. ADOH may elect to award and/or carryforward LIHTCs received after the application cycle ends.

IV. Threshold Eligibility

Unless otherwise indicated, the criteria in this QAP Section IV apply to all applications and properties, including those for or with 4% LIHTCs. ADOH may determine eligibility by contacting third parties.

A. All Properties

Applications must meet the applicable underwriting standards in QAP Section VI. Properties must be designed and constructed in accordance with Exhibit A and any applicable local, state, and federal accessibility standards, including the Americans with Disabilities Act (42 U.S.C. § 12101, *et seq.*) and Section 504 of the Rehabilitation Act of 1973 (29 U.S.C. § 794), regardless of federal funding status.

1. PRE-APPLICATION REQUIREMENTS

For 9% LIHTC applications, a minimum of one (1) representative of each Applicant must attend ADOH's 2026-2027 QAP Application Workshop. One workshop will be held before each 9% LIHTC application round.

2. QUALIFIED CONTRACT

By submitting an application for LIHTCs, the Applicant waives the right to request a qualified contract under I.R.C. § 42(h)(6)(E)(i). This waiver will be documented in the project's LURA. Notwithstanding this provision, failure of a project's LURA to document the waiver shall not provide grounds for an Applicant to participate in the qualified contract process.

3. PLAN SUBMITTAL AND CONSTRUCTION START DATE (9% LIHTC ONLY)

Plan Submittal

Applicants must provide evidence to ADOH that the local jurisdiction has received building plans by December 31st of the calendar year of the 9% LIHTC awards. Such evidence must, at a minimum, include

email confirmations or other similar correspondence, stamped building plans, and building permits.

ADOH may assess a Late Fee until receipt of the evidence of plan submittal. Tribal projects not required to submit building plans to a local jurisdiction must submit evidence of completion of the bid set.

Construction Start Date

Applicants must provide evidence to ADOH that construction/rehabilitation of the project is underway by December 31st of the subsequent calendar year of the initial 9% tax credit awards. Such evidence must, at a minimum, include a copy of the signed construction contract, the notice to proceed, pictures, and other applicable documentation. Principals who do not meet the mandatory construction start date will not be allowed to apply for 9% tax credits in the next funding round. In addition, prior to the earlier of (i) closing of the applicable land use restriction agreement (LURA), (ii) issuance of any ADOH firm commitment, or (iii) commencement of site work or vertical construction, the ownership entity must provide evidence of construction completion and payment security in compliance with Exhibit C (Construction Completion and Payment Security) for LIHTC Projects.

4. APPLICANT EXPERIENCE

Developer and Owner

The Applicant or project consultant must have been listed in an awarded application form as a developer or consultant (may be a joint venture) for at least one (1) LIHTC property. If a consultant provides the required experience, that consultant must be the principal contact and actively involved in all aspects of the development through issuance of Form(s) 8609. The Applicant may not terminate its contract with the consultant without ADOH approval.

Properties

The LIHTC property or properties must:

- have been placed in service between January 1, 2000 and December 31, 2025 for the 2026 9% LIHTC round and between January 1, 2000 and December 31, 2026 for the 2027 9% LIHTC round, and
- not be in material noncompliance with any applicable affordable rental housing program requirements

5. PRINCIPALS

Definition

Principals include the Applicant and any individuals or entities:

- listed as a developer;
- listed as a member/partner of the eventual ownership entity (excluding LIHTC equity providers); or
- who are immediate family members or affiliates of the foregoing.

Applicants must disclose all Principals and any related parties.

Disqualification

ADOH may disqualify an application based on substantive evidence that a Principal:

- has made any misrepresentation or provided materially false information in an application;
- has been involved in any project awarded LIHTCs where there has been a material change (including general partners or managing members) between award and Form 8609 that ADOH did not approve in writing beforehand;

- has allowed an affordable rental housing property to enter into foreclosure;
- has been removed from a LIHTC ownership entity by an equity investor or ADOH;
- is not in good standing with any affordable rental housing program administrator or the State of Arizona, including ADOH;
- has been a debtor in a bankruptcy within the past five (5) years;
- has been a defendant in a civil, administrative, or criminal matter which resulted in an adverse fair housing, civil rights, or other housing-related settlement or judgment within the previous five (5) years;
- has been found to be directly or indirectly responsible for any other project within the past five (5) years in which there is or was uncorrected noncompliance with state or federal statutory requirements, rules, regulations or standards;
- has outstanding compliance issues with HUD or ADOH;
- has ADOH fees that are due and remain unpaid as of the Application Deadline;
- has a loan payment that is due and remains unpaid as of the Application Deadline without a pending deferral request; and
- has at any time been debarred from any federal housing program.

6. LIHTC MANAGEMENT EXPERIENCE

The proposed management company must be:

- a management company for at least three (3) LIHTC properties (at least two (2) LIHTC properties for Tribal Set Aside projects), and
- considered in good standing with all affordable rental housing program administrators.

Applications may list two management agents so long as at least one meets the above requirements. The eligible entity must remain in a lead role for at least two (2) years after the last building is placed in service.

7. SITE CONTROL

Non-Tribal

Applications must include a legally binding contract of either current ownership or the legal ability to purchase the real estate for the proposed property (may be a long-term ground lease) that is:

- in the name of the Applicant, Principal, or an affiliated entity;
- valid through at least one (1) month after the anticipated award date; and
- in writing and signed by the current ownership or the seller and buyer or lessor and lessee.

Acceptable forms of site control include Deeds, Purchase Agreements, Purchase Options, Lease Agreements, and Lease Options.

Tribal

For projects located on Tribal Land, where the Applicant has not yet entered into a lease agreement, Applicant must establish legal control of the property by submitting: (a) an agreement between the ownership entity and the Tribe to enter into a lease of specific real property for a term at least twenty-five (25) years with an option to renew for another twenty-five (25) years, and (b) a resolution of the Tribe

(or TDHE as applicable) authorizing the Tribe (or TDHE) to enter into the submitted agreement. The agreement to enter into a lease must also specify a rental amount and reference that the Tribe (or TDHE) will execute the LURA.

For projects located on Tribal Land where the Applicant has entered into a lease agreement, Applicants must attach evidence that the Tribal land has been leased and all necessary approvals from the Tribe, the Bureau of Indian Affairs, and other governmental approvals (as applicable) have been secured. The lease must specify the specific real property being leased, a specific rental amount, twenty-five 25 years with an option to renew for another twenty-five (25) years, and that the Tribe (or TDHE) will execute the LURA. For Tribal leases only, ADOH may consider the length of the lease to be the original term of the lease plus the term of any option to renew, provided that the option to renew is held solely by the Applicant. For off-reservation Tribal Lands that are established by a federal public law, Applicant must also submit documentation of the federal public law that establishes that the property qualifies as Tribal Land.

8. MARKET NEED

Applications must include a study prepared by a market analyst on ADOH's approved list and unaffiliated with any Principal. Market studies must show adequate demand for the property and meet the most recent Model Content Standards adopted by the National Council of Housing Market Analysts. ADOH may request an alternate market demand study, at the expense of the Applicant, if the study submitted by the applicant is unsatisfactory. The Market Study must be dated within one (1) year of application submission.

9. FUNDING SOURCES

Applications must include executed commitment letters for all funding sources, other than ADOH loans and LIHTC equity. The commitment letters must comply with QAP Section VI(B)(5).

10. AVERAGE INCOME MINIMUM SET-ASIDE

Applications must indicate the property's minimum set-aside, which cannot change after submission. Projects electing the average income minimum set-aside may not:

- contain market-rate units or
- propose average designations exceeding sixty percent (60%) of area median income (AMI) for any bedroom type (a pro-rata distribution).

ADOH may waive the foregoing, if necessary, for a rehabilitation application to better fit the household incomes of in-place tenants. For projects with more than one building, the ownership entity must select that each building is part of a multiple building set-aside on line 8b in Part II of I.R.S. Form 8609.

11. PUBLIC HOUSING AND HOUSING CHOICE VOUCHER (HCV) WAITLIST

Applicants must represent that at least one (1) month prior to commencing lease-up, the management company will inform the local public housing authority and Housing Choice Voucher administrator that Applicant will be accepting their referrals.

12. SMOKE FREE DEVELOPMENT

Applicants must enforce a "no smoking" policy (including electronic smoking devices) in all common and individual living areas in all buildings and offer a designated smoking area in an outdoor area of the property. The designated smoking area must include proper signage and means of disposal

13. COMMUNITY WI-FI

Applicants must provide Wi-Fi in air-conditioned common areas throughout the project that is entirely paid for by the project owner.

14. CONSTRUCTION COMPLETION AND PAYMENT SECURITY

All projects must maintain construction completion and payment security as a condition of reservation, carryover allocation, issuance of a Determination of Qualification of Tax Credits Letter, and issuance of Form(s) 8609, in accordance with Exhibit C (Construction Completion and Payment Security) for LIHTC Projects, as may be amended from time to time.

Exhibit C takes effect on October 1, 2026. Projects already in construction as of October 1, 2026 must, within ninety (90) days of that date, provide current bond documentation to ADOH and, if nonconforming, submit a remediation plan for ADOH approval in accordance with Exhibit C, Section V.

At minimum, projects must provide 100 percent performance and 100 percent payment bonds on AIA A312–2010 forms (or ADOH-approved equivalent), or an alternative form of security approved by ADOH in its discretion, as further described in Exhibit C (Construction Completion and Payment Security) and the LIHTC Post-Award Manual. Any irrevocable letter of credit accepted as an alternative must be in an amount not less than twenty-five percent (25%) of the Construction Contract price, and any sponsor proposing a letter of credit in lieu of a payment bond must submit an ADOH-approved plan to manage mechanics' lien exposure, as set forth in Exhibit C.

B. Rehabilitation

1. SCOPE OF WORK AND CAPITAL NEEDS ASSESSMENT

Applicants for rehabilitation, including all adaptive reuse projects, must submit a detailed Capital Needs Assessment (CNA) conducted by an independent third-party expert, and a specific scope of work addressing all units. The scope of work and CNA must be dated no more than twelve (12) months from the application deadline. Applicants with projects involving rehabilitation or adaptive re-use are responsible for the cost of the independent cost estimator.

2. MINIMUM PER UNIT

Buildings must require an average of at least \$25,000 per unit in rehabilitation hard costs, as determined by the CNA and ADOH's assessment. For purposes of Exhibit C, the \$25,000 per unit threshold constitutes the QAP-specified threshold for substantial rehabilitation under Exhibit C, Section II.

3. RELOCATION

The Application must include a relocation/displacement plan, including a projected budget and an explanation of efforts to mitigate the impact on residents. For developments also using federal funds, the ownership entity must comply with the Federal Uniform Relocation Assistance and Real Property Acquisition Policies Act of 1970.

4. INCOME AND RENT TARGETING

Properties must comply with the more restrictive of the:

- elected LIHTC minimum set-aside, or
- applicable requirements of any other affordable rental housing program.

C. New Construction

1. INCOMPATIBLE USES

ADOH may deem an application ineligible due to proximity (defined below, calculated from the edge of the subject property using line of sight to the edge of the use) to any incompatible use. An application will not be ineligible solely due to such proximity if the Applicant demonstrates that a multifamily market rate project or multiple single-family homes are located within one mile of the incompatible use.

Half Mile

ADOH may determine an application is ineligible due to the site being within 0.5 miles of the following types of facilities or establishments:

- airport;
- chemical or hazardous materials storage/disposal;
- commercial junk or salvage yards;
- industrial or agricultural activities generating odors or pollution;
- landfills currently in operation; or
- wastewater treatment facilities.

Nearby

An application may be ineligible if the site is adjacent to, or across a street from, any of the following types of facilities or establishments:

- any of the uses described under “Half Mile”;
- adult entertainment establishment;
- distribution facility involving trucking;
- factory or similar industrial operation;
- jail or prison; or
- source of excessive noise.

2. SITE

An application may be deemed ineligible if an improvement

- has any portion on a 100-year floodplain (and has not completed the 8-step process or obtained a Conditional Letter of Map Revision or Letter of Map Revision), or
- is in, or has an un-mitigatable effect on, a wetland.

3. ZONING

Applications must include documentation that all necessary

- legislative land use authorizations (rezoning),
- quasi-judicial approvals (conditional or special use permits), and
- variances from administrative requirements

are in place for the proposed property.

4. CONNECTIONS

Applications must include documentation that:

- all necessary utilities are currently available or connections are possible, and
- the proposed property has or will have access to a publicly maintained road.

The documentation must be dated within six (6) months of application submission. If necessary, ADOH may permit Tribal properties additional time to comply with this requirement.

5. 9% LIHTC INCOME AND RENT TARGETING

For 9% LIHTC applications, the average income and rent restrictions of the low-income units (not including any units set aside for employees) must be fifty percent (50%) or lower.

6. 9% LIHTC NEW CONSTRUCTION MINIMUM SCORE

Applications under the competitive 9% LIHTC round must have a minimum total score of one hundred sixty (160) points.

V. Selection Criteria

ADOH will make awards using the following selection criteria for 4% LIHTCs and 9% LIHTCs.

A. 4% LIHTC

ADOH will not score 4% LIHTC applications, but will make awards on a first come first serve basis to complete application submissions that, at most, contain only de minimis errors or omissions.

1. Determination Letter and Bond Inducement

Applications financed with tax-exempt private activity bonds pursuant to I.R.C. § 42(h)(4) (PAB) must have a private activity bonding authority Issuer's Delegation of Determination Letter and bond inducement resolution, and volume cap allocation from the Arizona Finance Authority, in order to receive an ADOH issued I.R.C. § 42(m) Determination of Qualification of Tax Credits Letter.

In addition, ADOH will require evidence of construction completion and payment security in accordance with Exhibit C (Construction Completion and Payment Security) for LIHTC Projects as a condition of issuing the Determination of Qualification of Tax Credits Letter.

2. Private Activity Bond Issuance Threshold

All developments utilizing PAB financing must comply with the following requirements:

Bond Issuance Limitation

The amount of private activity bond volume cap allocated, as specified in the ADOH Bond Certification Form, cannot exceed the greater of:

- thirty percent (30%) of the project's aggregate eligible basis, as defined in I.R.C. § 42(d); or
- the amount necessary to support the project's maximum permanent debt.

This limitation does not apply to recycled bonds issued under I.R.C. § 146(i)(6).

Certification Requirements

Applicants must submit the ADOH Bond Certification Form as part of a completed application.

Compliance

Projects exceeding the Bond Issuance Limitation at 42(m) review will be ineligible to receive a 4% LIHTC allocation. To confirm compliance with this limitation, ADOH may verify calculations, request supporting documentation, and/or require additional clarification from the Applicant.

B. 9% LIHTC Rehabilitation

All applications for 9% LIHTC rehabilitation projects will be reviewed and scored. Projects must meet all Threshold Requirements to proceed to formal scoring.

1. PROJECT TYPE

Maximum of thirty-five (35) points.

ADOH will award up to thirty-five (35) points based on the following:

Existing Vacant Housing	15 points
Existing USDA or other Federally Funded Project	25 points
Existing LIHTC project, or other Federally funded project with a project-based rent subsidy that covers at least 70% of the units.	35 points

2. REHABILITATION WORK

Maximum of sixty (60) points.

ADOH will award up to sixty (60) points to applications proposing “per unit” rehabilitation hard costs (supported by a third party CNA and a scope of work meeting ADOH’s design standards for Rehabilitation Projects in Exhibit A):

Less than \$30,000	0 points
\$30,001 to \$40,000	20 points
\$40,001 to \$50,000	40 points
\$50,001 and above	60 points

3. PROJECT-BASED RENTAL ASSISTANCE

Maximum of forty (40) points.

ADOH will award up to forty (40) points for the percentage of total units supported by project-based rent assistance or federally funded operating subsidy.

15% or less	10 points
16% to 30%	20 points
31% to 45%	30 points
46% or more	40 points

4. COMMUNITY REVITALIZATION PLANS, QUALIFIED CENSUS TRACTS, DIFFICULT DEVELOPMENT AREAS, AND OPPORTUNITY ZONES

Maximum of ten (10) points.

ADOH will award five (5) points to applications that are located within a:

- Community Revitalization Plan (CRP);

- Qualified Census Tract (QCT).
- Difficult Development Area (DDA).
- Opportunity Zone.

Community Revitalization Plan Criteria

Applications claiming CRP points must meet the criteria below.

- As of the application deadline, a local government formally adopted a plan to revitalize a defined geographic area (CRP) containing the proposed site. A standard land use, comprehensive, or general plan is ineligible unless it contains a specific revitalization area where the site will be located.
- Completing the property proposed in the application would contribute to one or more of the CRP's stated goal(s).
- The local government has made or is committed to making specific investments in non-housing infrastructure, amenities, or services beyond developing the proposed property. A Neighborhood Revitalization Plan and Indian Housing Plan will qualify if it meets the above criteria.
- The local government certifies that no Principal (other than a public housing authority or a related entity) initiated the CRP's adoption and confirms the Plan meets the criteria above.

Qualified Census Tracts

For applications claiming QCT points, the project must have at least one (1) building in a QCT as of the year of application submission.

Difficult Development Area

For applications claiming DDA points, all of the projects' buildings must be located in a DDA in effect as of the year of application submission.

Opportunity Zone

For applications claiming Opportunity Zone points, all of the projects' buildings must be located in an Opportunity Zone that is in effect as of the year of application submission.

5. DEVELOPER'S EXPERIENCE

Maximum of twenty-five (25) points.

ADOH will award up to twenty-five (25) points to projects in which a Developer, Co-Developer or consultant has placed the following number of distinct LIHTC or federally subsidized low-income rental housing projects in service:

One (1)	5 points
Two (2)	10 points
Three (3) – Four (4)	15 points
Five (5) – Six (6)	20 points
Seven (7) or more	25 points

If a consultant provides the qualifying experience, that consultant must be the principal contact and actively involved in all aspects of the development through issuance of Form(s) 8609. The Applicant may not terminate its contract with the consultant without ADOH approval.

6. TIEBREAKER

In the event more than one application earns the same total number of points, and there are not enough LIHTCs remaining for all Applicants, ADOH will make awards based on the following, in descending order:

- contains the greatest total number of LIHTC units;
- has the lowest AMI average of the rent restricted units (rounded to two decimals);
- has the longest extended use period.

C. 9% LIHTC New Construction (Rural & Metro) & Tribal

ADOH will score only the highest-ranking self-scored applications in their respective set-asides. Unless a set-aside is specifically designated in parenthesis, each requirement is applicable to both New Construction and Tribal Set-Asides.

1. DEVELOPER'S EXPERIENCE

Maximum of twenty-five (25) points.

ADOH will award up to twenty-five (25) points to projects in which a Developer, Co-Developer or consultant has placed the following number of distinct LIHTC or federally subsidized low-income rental housing projects in service:

One (1)	5 points
Two (2)	10 points
Three (3) – Four (4)	15 points
Five (5) – Six (6)	20 points
Seven (7) or more	25 points

If a consultant provides the qualifying experience, that consultant must be the principal contact and actively involved in all aspects of the development through issuance of Form(s) 8609. The Applicant may not terminate its contract with the consultant without ADOH approval.

2. SUPPORTIVE HOUSING

Maximum of thirty (30) points.

Tenant Based Rental Assistance Participation

ADOH will award thirty (30) points to Applicants that commit to lease at least fifteen percent (15%) of the proposed units to households with tenant based rental assistance. Referrals may be made from Housing Authorities or agencies administering rental assistance (HCV or other Federal or State rental assistance programs). The Applicant must have authority to bind the ownership entity.

Rental Assistance

ADOH will award points using the following matrix to projects committed to targeting units for special populations such as: persons with disabilities, veterans, persons experiencing homelessness, victims of domestic violence, or youth exiting foster care using Federal Project Based Vouchers, Tribal Housing Assistance Payment Agreement, or other third-party project based rental assistance such as AHCCCS vouchers:

15% of units	20 points
30% of units or more	30 points

The units set aside for Rental Assistance must be at thirty percent (30%) of AMI.

To obtain points under this subsection, the Applicant must submit a targeting plan approved by ADOH before commencing lease-up. Among other terms, the plan must include an agreement by the ownership entity to hold open the required number of units for special populations for the following periods:

- sixty (60) days after certificate of occupancy
- ten (10) days during operations.

ADOH will post a template plan on its website and coordinate with human services agencies to establish a process for referring potential tenants.

The project must adopt a supportive services plan before starting lease-up. Supportive services must be tenant-centered and flexible with a focus on housing retention, including the following as appropriate: individual person-centered planning, emergency on-call coverage, group and individual programming, on-site case management and life skills services, collaborative treatment with area providers, on-site property management, and client support staffing.

3. PROXIMITY TO AMENITIES

Maximum of forty (40) points.

Measurement

Applicants must provide documentation of the driving distances calculated by Google Maps for the listed eligible amenities. Routes must be drivable as of the application deadline. The measurements will be between the points closest to

- the site entrance; and
- the amenity driving entrance.

For scattered site properties or properties with multiple buildings, the measurement will be from the location with the shortest distance(s) from at least twenty-five percent (25%) of the total project units.

Eligible Amenities

The eligible amenities below will qualify for the points indicated if within:

- two and one half (2.5) miles in Metro
 - four (4) miles in Rural / Balance of State, and
 - fifteen (15) miles on Tribal land (Tribal Set Aside only).
1. Each amenity must be open to the general public and operating as of the application deadline. Applications must include documentation for each eligible amenity showing the amenity is operational at the time of application. When applicable, the Applicant must provide business hours and operation, location, route and route schedule, and/or activity or pictures to demonstrate the amenity chosen meets the requirements. Grocery: Ten (10) points –AJ’s Fine Foods, Albertsons, Bashas’ Grocery Stores, Costco, Fry’s Food and Drug, Food City, IGA, Los Altos Ranch Market, Safeway, Sam’s Club, Sprouts Farmers Market, Target, Super Target, Walmart Supercenter, Walmart Neighborhood Market, Whole Foods Market, Natural Grocers, Trader Joe’s, and WinCo Foods and Aldi. ADOH may also consider additional locations upon request if the location includes access to grocery staples and essential household products.
 2. Shopping or pharmacy: Five (5) points – Target, Super Target, Big Lot’s, Dollar General, Dollar Tree, Walmart, Family Dollar, CVS, and Walgreens. ADOH may also consider additional locations upon request.

3. Medical Facility: Five (5) points – includes hospital, urgent care business, general/family medical practice, or full-service primary care facilities co-located within a pharmacy, but does not include specialists or clinics within pharmacies that are not full-service primary care.

4. Bus or Transit Stop: Five (5) points – must be a fixed location served by a public transportation system:

- six (6) days a week (if within service area of Valley Metro or Sun Tran), or
- five (5) days a week (if within service area of another public transit system).

Rural or Tribal projects may use alternate transportation methods such as dial-a-ride.

5. Employment Center: Five (5) points – an employment center is a single university or college, single hospital, single governmental entity, single private company, or single location including but not limited to an office park, shopping center, or mall with multiple employers that in the aggregate have at least two hundred and fifty (250) year-round, full-time employees in a single location for Metro developments, at least fifty (50) year-round, full-time employees in a single location for Rural/Balance of State developments, or at least thirty (30) year-round, full-time employees in a single location for developments on Tribal land. The project must provide a letter from the employer, a third-party employment agency, or the local government body stating the number of year-round, full-time employees that work at the location. All employees must be at the same site to receive points.

6. Other Amenities: Maximum of ten (10) points.

The following amenities will qualify for two (2) points each:

- *Senior Center* – owned and operated by a local government with scheduled activities(age-restricted projects);
- *School* – non-alternative public elementary, middle or high school (family, open occupancy projects);
- *Community Center* – owned and operated by a local government with scheduled activities;
- *Public Park* – operated by a local government, listed on the local government’s map or website, and containing playground equipment and/or walking trails;
- *Public Library* – operated by a local government and open at least five (5) days a week;
- *Fire Station or Police Station*;
- *Federally Insured Banking Institutions (ATMs not eligible)*;
- *Food Pantry*;
- *Post Office*;
- *Dentist Office*;
- *Optometrist*;
- *Physical Therapy Office*.

The same establishment or location may count under multiple categories.

4. COMMUNITY REVITALIZATION PLANS, QUALIFIED CENSUS TRACTS, DIFFICULT DEVELOPMENT AREAS, AND OPPORTUNITY ZONES

Maximum of ten points.

ADOH will award points based on the criteria described in QAP Section V(B)(4).

5. BELOW MARKET LOANS AND LOCAL SUPPORT

Maximum of twenty-five (25) points.

Local Gap Financing

Loans committed from any of the following sources will receive ten (10) points.

- Community Development Block Grant;
- HOME Investment Partnership (from a non-ADOH source);
- Native American Housing Assistance and Self Determination Act;
- Established Tribal or local government housing programs;
- Public Housing Authority resources;
- Federal Home Loan Bank Affordable Housing Program;
- Other sources from governmental agencies.

Minimum loan amounts required:

- \$500,000 per project for projects located in Metro area
- \$100,000 per project for projects located in Rural/Balance of State and Tribal

For scoring purposes, ADOH:

- may disregard a source affiliated with a Principal (excluding tribes and public housing authorities);
- will reduce the amount from a local government by the cost of any land to be sold to the ownership entity by that local government.

Historic

ADOH will award five (5) points if the property will be eligible for the federal historic rehabilitation tax credit.

Land Lease

ADOH will award five (5) points for projects with land owned by a unit of local government or a non-affiliated 501(c)(3) nonprofit in good standing with the State. A 501(c)(3) is non-affiliated if it is not part of the Applicant entity and does not have a development role. The land lease must have no more than a maximum land lease payment of \$2,000 per month (for land and buildings). The term of the land lease must extend at least ten (10) years beyond the ADOH compliance period. The local government or 501(c)(3) nonprofit must not have purchased any portion of the real estate from a Principal.

Local Fee Waivers

ADOH will award five (5) points for projects in which the local government commits in writing to waive what would have been impact, utility, or other fees totaling at least:

- \$100,000 per project for projects located in Metro;
- \$50,000 per project for projects located in Rural/Balance of State and Tribal.

Other

Below-Prime Loans committed from charitable organizations that are tax exempt under Internal

Revenue Code Section 501(c)(3) will receive five (5) points.

Minimum loan amounts required:

- \$500,000 per project for projects located in Metro area
- \$100,000 per project for projects located in Rural/Balance of State and Tribal

For scoring purposes, ADOH

- may disregard a source affiliated with a Principal (excluding tribes and public housing authorities);
- will reduce the amount from the charitable organization by the cost of any land to be sold to the ownership entity by the charitable organization.

6. SENIOR AND FAMILY

Maximum of twenty (20) points.

Applications will earn twenty (20) points for agreeing to comply with one of the following two options.

Senior Housing with Services

Developments eligible under a fair housing family status exception that commit to at least three of the following will receive twenty (20) points:

- garages or covered parking,
- design units to provide five percent (5%) more accessible units above the minimum required,
- fitness room with equipment,
- walking path and outdoor seating area,
- community garden,
- adjacent to a senior center or community center with regular programming, and the property provides regular transportation to senior center or community center,
- regular transportation or on-site bus stop, or
structured recreational or educational programs.

Senior housing serving persons with ages 55+ must have no fewer than eighty percent (80%) of total project units occupied by at least one person who is fifty-five (55) years of age or older. Senior housing serving persons with ages sixty-two or higher (62)+ may include up to one hundred percent (100%) of total project units serving this demographic.

Three or More Bedrooms

Applications proposing a family property with at least twenty percent (20%) of units containing three (3) or more bedrooms will receive twenty (20) points.

7. ENERGY EFFICIENCY & HEAT MITIGATION

Maximum of fifteen (15) points.

ADOH will award ten (10) points to applicants committing to obtain one of the following certifications:

- **Current Enterprise Green Communities**
 - The version and revision of ENERGY STAR must be equal to or greater than the minimum standards dictated by the Environmental Protection Agency for the State of Arizona.

- **Leadership in Energy & Environmental Design (LEED)** – Minimum Silver Rating
 - Projects must achieve LEED Silver certification through LEED v4.1. The LEED Rating system. (Residential, BD+C, etc.) must be aligned with USGBC guidelines.
 - If the LEED Rating system requires the project to be in compliance with ENERGY STAR for Homes or ENERGY STAR MFNC, formal certification documentation is required. The version and revision of ENERGY STAR must be equal to or greater than that outlined in the USGBC guidelines.
- **ICC 700-2020 National Green Building Standard (NGBS)** – Minimum Silver Rating
 - ICC 700-2025 compliance at the Bronze level is also an equivalent standard.
 - Seeking Chapter 7 compliance with ENERGY STAR will require formal ENERGY STAR MFNC Certification for Multifamily Dwelling Units and/or ENERGY STAR for Single Family Homes. The version and revision of ENERGY STAR must be equal to or greater than the minimum standards dictated by the Environmental Protection Agency for the State of Arizona.
- **DOE Efficient New Homes Program**
 - The project must be built to DOE Zero Energy Ready Standards. Version requirements must be identical to the required/published dates from the U.S. Department of Energy. The ZERH program (Single Family vs. Multifamily) will be project specific and subject to EPA definitions for building types.
 - This program requires additional certifications including ENERGY STAR and EPA Indoor airPLUS.

ADOH will award five (5) points to applicants agreeing to construct housing with one of the following:

- **Reduced (Improved) HERS/ERI rating**

To qualify for a reduced HERS/ERI Rating, an Applicant must obtain the following Score:

- Climate Zone 2B – 50 or less
- Climate Zone 3B – 52 or less
- Climate Zone 4B – 56 or less
- Climate Zone 5B – 60 or less

Climate zones defined in the 2021 IECC will govern. To show compliance with this section, an A weighted average HERS/ERI Scores for all plan types designed is required.

8. INCREASE IN EXTENDED USE PERIOD OR HOMEOWNERSHIP

Maximum of twenty (20) points.

Increased Extended Use Period

Applications committing to an affordability term beyond the thirty (30)-year minimum will be awarded five (5) points for every additional five (5) years that is added to the extended use period (up to an additional twenty (20) years or a total of fifty (50) years of affordability).

or

Homeownership Conversion

Applicants will receive ten (10) points for projects that will be converted to homeownership for the residents after the initial fifteen (15)-year compliance period has expired. To qualify, applications must propose the following:

- single family units or townhomes on separate lots,
- the property will either be developed on Tribal land or the project would qualify for a nonprofit adjustment;
- a Principal has experience with affordable homeownership,
- a comprehensive plan for conversion to ownership by the tenants after fifteen (15) years, and
- the Applicant will have no common property requiring a homeowner association post-conversion.

Purchasing a unit must be optional to the tenant household and not be a condition of continued occupancy. The ownership entity will remain responsible for leasing and managing all units pursuant to the LURA for thirty (30) years or until each is converted.

9. LOCCS BALANCE (Tribal Set Aside Only)

Maximum of twenty-five (25) points.

ADOH will award points on a sliding scale based upon the number of years NAHASDA funding is unexpended as of the 9% LIHTC application deadline, as demonstrated through a printout of a report from the HUD LOCCS system.

- Less than the greater of \$1 million or one (1) full year of NAHASDA funds in the LOCCS Balance – twenty-five (25) points
- One (1) full year but less than two (2) full years or the greater of \$2 million of NAHASDA funds in the LOCCS Balance – fifteen (15) points

10. TIEBREAKER

In the event more than one application earns the same total number of points, and there are not enough LIHTCs remaining for all Applicants, ADOH will make awards based on the following, in descending order:

- contains the greatest number of total LIHTC units;
- has the lowest AMI average of the rent restricted units (rounded to two (2) decimals);
- has the longest extended use period.

VI. Underwriting Standards

ADOH reserves and allocates LIHTC at the minimum level needed to realize projects' financial feasibility throughout the end of the extended use period. Within its sole discretion, ADOH may permit Applicants to correct or provide additional information necessary for a project to comply with underwriting standards, so long as that information has no material effect on the project's application materials related to Threshold Eligibility or Selection Criteria.

A. 9% LIHTC Underwriting

ADOH will conduct a full underwriting process:

- prior to issuing a binding reservation; and
- during submission of documents requesting a Form 8609.

Unless otherwise indicated, the underwriting requirements apply to both 9% and 4% LIHTCs. ADOH, in its sole discretion, may request updated information and/or reduce the funding sources awarded at any

time.

B. All Properties

Applicants must correctly complete and submit all required application forms.

1. PRO-FORMA

Applications must:

- use a vacancy rate as stated in the market study, but in no event shall the vacancy rate be greater than ten percent (10%);
- trend rent increases by two percent (2%) and expenses by three percent (3%);
- demonstrate a Debt Service Coverage Ratio (DSCR):
 - between 1.15 and 1.35 in the first year of normal operation if projected to trend upward;
 - between 1.10 and 1.50 during the entire first fifteen (15) years of normal operation if projected to trend downward.

ADOH will assess the DSCR without regard to any deferred developer fees or funds paid to members/partners (e.g., distributions, asset management fees, loan payments) and may provide alternatives to Rural and Tribal projects.

2. OPERATING EXPENSES

ADOH will base the minimum operating expenses for rehabilitation applications on the property's current operations, factoring in any changes resulting from physical improvements. The new construction per unit per year range is \$4,700 through \$5,200, excluding real estate taxes and reserve payments. Applicants must submit waivers, including documentation of comparable properties, for an operating budget that is either higher or lower than this standard. ADOH may allow an increase in operating expenses for supportive services.

3. REQUIRED RESERVES

The requirements in this subsection do not apply to properties with USDA-Rural Development (RD) rent assistance. ADOH will not accept waivers for the required reserves.

Lease-Up

Owners must deposit a minimum of \$300 per unit. The management agent must use these funds to pay rent-up expenses. Any amount remaining when the property reaches ninety-three percent (93%) occupancy must be transferred to the replacement reserve account, operating reserve account, or to pay capital costs including the deferred developer fee. Owners must provide evidence of compliance with this provision before lease-up commences.

Operating

The operating reserve must equal at least four (4) months of operating expenses and debt service. Owners must provide evidence of compliance before ADOH will issue Form(s) 860g.

Replacement

All developments must fund an annual replacement reserve of at least \$250 per unit for new construction projects for seniors and \$350 for all other project types. Additionally, the annual replacement reserve per unit must increase annually by three percent (3%).

4. EQUITY PRICING

ADOH will conduct a survey of federal and state LIHTC equity providers to determine appropriate pricing assumptions and will announce the results no later than one (1) month prior to the application deadline. The results will be a range (minimum-maximum) and may vary based on property type, size, and/or geography. Applicants must submit their application using an equity price within the ADOH determined range or may provide a fully executed letter of intent (LOI) from an equity investor/syndicator for an equity price above the range.

5. COMMITMENT LETTERS

Applications must include commitment letters indicating the following for all permanent loans:

- amount,
- term and amortization (minimum of fifteen (15) years),
- fixed interest rate,
- fees charged,
- reserve requirements,
- anticipated lien position, and
- that the election of the average income is acknowledged and affirmed, if applicable.

If the ownership entity will assume a loan, the application must also include a letter from the lender stating that the loan can be assumed and details of the terms/conditions.

6. 9% LIHTC BASIS BOOST

ADOH will allow for up to a statewide thirty percent (30%) increase in the eligible basis for 9% LIHTC projects that demonstrate a financial need. ADOH will determine within its sole discretion if the project is eligible for an increase. If ADOH determines that a project is eligible, ADOH will permit an increase only to the level it deems necessary to address the project's financial need.

7. APPRAISALS

Applications that involve costs to purchase real estate must submit a real estate "as is" appraisal that is:

- dated no more than six (6) months from the application deadline;
- prepared by an independent, state certified appraiser; and
- complies with the Uniform Standards of Professional Appraisal Practice.

Applications may include no more than the lesser of the appraised value or the purchase price. Appraisals for properties with existing structures that will not be demolished must break out the land and building values.

8. DEVELOPER FEES

Total

Applications must list developer fees between a minimum of \$200,000 and maximum of the following, as calculated in ADOH's Underwriting Workbook:

Percent of Total Eligible Basis		
4% LIHTC Units	9% LIHTC Units	Maximum Percent Allowed

30-40	30 – 40	Eighteen percent (18.00%)
41 – 60	41 – 60	Seventeen percent (17.00%)
61 – 90	61+	Sixteen percent (16.00%)
91+	N/A	Nineteen percent (19.00%) – 4% LIHTC Only

These totals are inclusive of any consulting fees. Developer fees will be locked in at issuance of Form(s) 8609 for 4% LIHTCs.

9% LIHTC Deferred

Applications must demonstrate that deferred developer fee amounts:

- can be repaid by project cash flow within fifteen (15) years at zero percent (0%) interest, and
- are no more than half of the total.

Any amount over \$2,750,000 must be deferred.

4% LIHTC Deferred

Applications must demonstrate that deferred developer fee amounts can be repaid by project cash flow within fifteen (15) years at zero percent (0%) interest. Any amount over fifteen percent (15%) of Total Eligible Basis must be deferred.

9. CONTRACTOR AND OTHER FEE MAXIMUMS

Contractor fees cannot exceed:

- General Requirements – six percent (6%)
- Builder's Overhead – four percent (4%)
- Builder's Profit – five percent (5%)

Architectural and engineering fees in eligible basis cannot exceed:

Units	Per Unit
20 – 60	\$10,000
61+	\$9,000

C. Rehabilitation Development Costs

ADOH will determine the appropriate amount for each line item of rehabilitation development costs based on the:

- appraisal,
- applicant's proposed amounts,
- Capital Needs Assessment, and
- staff's professional judgement.

Maximum contingency is ten percent (10%) of rehabilitation hard cost line-items.

D. New Construction Development Costs

For new construction and applicable adaptive reuse projects, ADOH will determine whether applications show development budget amounts outside the standard deviation among (1) all applications submitted and/or (2) comparable applications from either the current or, if necessary, prior allocation cycles. If

ADOH determines that a project's development budget exceeds the standard deviation under either analysis, ADOH will require Applicants to provide written justifications, including a third-party reasonableness study, for the project's development costs.

Applicants must propose costs for the non-vertical components of the project. In evaluating these costs, ADOH will evaluate the appropriateness of each budget item based on:

- comparisons with other applications from current and/or prior allocation cycles,
- recently submitted cost certifications,
- input from third parties, and
- staff's professional judgment.

The allowable contingency range is seven-and-one-half percent through ten percent (7.5% to 10%) of new construction hard cost line-items.

ADOH reserves the right to disqualify any application that fails to adequately justify development costs that exceed the standard deviation or are otherwise deemed by ADOH to be excessive under the circumstances.

The following do not count towards eligible basis:

- locked closets and any Owner Equipment contained therein;
- any Balcony, Porch, or Deck in excess of 100 square feet.

E. ADOH Gap Financing

ADOH will announce a separate NOFA describing the terms and conditions of any ADOH Gap funding.

F. Subsidy Layering Review

If requested, ADOH will perform a Subsidy Layering Review (SLR) based on HUD's most current subsidy layering review guidelines in conjunction with the underwriting.

VII. Post-Award and Compliance

At any time between award and issuance of the Form(s) 8609, ownership entities must obtain written approval from ADOH prior to any of the following material changes:

- altering designs ADOH previously approved, including amenities, site layout, floor plans and elevations;
- changes in ownership or general partner or managing member;
- increasing rents for low-income units; or
- increasing the anticipated or final uses by more than two percent (2%).

Failure to comply with this subsection may result in a fine of up to \$25,000, revocation of the LIHTC reservation or allocation, future disqualification of any Principal, or other recourse as necessary.

Failure to deliver or maintain construction completion and payment security in accordance with Exhibit C (Construction Completion and Payment Security) for LIHTC Projects constitutes a violation of the QAP and may result in any available QAP remedy, including withholding or rescission of reservations, denial of carryover allocation, withholding of the Determination of Qualification of Tax Credits Letter, or other recourse as necessary. Prior to imposing any adverse action for bonding noncompliance, ADOH will provide written notice specifying the deficiency and a reasonable cure period of not less than thirty (30)

calendar days. Ownership entities may seek administrative review of any adverse agency action pursuant to A.R.S. §§ 41-1092, et seq.

A. Post-Award Requirements

The following documents are incorporated here by reference: LIHTC Post-Award Manual, the Asset Management Handbook, Exhibit C (Construction Completion and Payment Security) for LIHTC Projects, and the LIHTC Compliance Manual, each as may be amended from time to time. The ownership entity must conform with all administrative guidance as defined in these documents. The ownership entity must further comply with I.R.C. § 42, applicable I.R.S. and U.S. Department of the Treasury regulations, rulings, procedures, decisions and notices, applicable Arizona statutes and regulations, the Fair Housing Act, local codes and ordinances, ADOH loan documents, Payment and Performance bonding requirements, and any other legal requirements. Ownership entities must promptly notify ADOH of any surety downgrades, revocations, or changes in Department Circular 570 status, and must structure Construction Contracts and lender or intercreditor agreements to preserve AIA A312-2010 bond mechanics, as required by Exhibit C. ADOH may treat any failure to comply with any of these provisions as a violation of the QAP.

B. Compliance Monitoring

Ownership entities and property management companies must comply with ADOH's LIHTC Compliance Manual. The ownership entity must:

- allow ADOH and/or its designee to audit any property during the extended use period, including a physical inspection and review of records;
- submit the Annual Owner's Certification of Continued Program Compliance along with other annual reporting requirements; and
- submit required state forms prior to changes in management companies and/or ownership.

Project ownership or development leadership with responsibility for the project must attend ADOH Compliance Training at a minimum of every five (5) years.

Property management personnel and site staff must complete ADOH Compliance Training (or an approved equivalent) annually, and a valid certificate must accompany the Annual Owner's Certification (Annual Report).

Compliance training means a two (2)-day certification course totaling a minimum of 12 hours. The course must be taught by authorized providers on operating and managing Projects in conformance with the requirements of I.R.C. § 42, 26 C.F.R. § 1.42 *et seq.*, the QAP and the LURA.

VIII. Definitions

100-year Floodplain: Areas with a 1% annual chance of flooding per <https://www.fema.gov/glossary/flood-zones>.

ADOH Bond Certification Form: Form prepared by the developer's CPA certifying that the proposed bond issuance complies with the Bond Issuance Limitation.

Annual LIHTC Allocation: One (1) of the ten (10) years of LIHTCs reserved for the associated project.

A.R.S.: Arizona Revised Statutes.

Choice Neighborhoods: <https://www.hud.gov/cn>.

Community Development Block Grant (CDBG): <https://www.hudexchange.info/programs/cdbg/>.

Construction Completion and Payment Security: The performance and payment bonds, letters of credit, or other security required by Exhibit C for LIHTC Projects.

Current Enterprise Green Communities: <https://www.enterprisecommunity.org/impact-areas/resilience/green-communities>.

Determination of Qualification of Tax Credits Letter: A letter ADOH issues after determining a project using tax-exempt bonds is eligible for LIHTCs under I.R.C. § 42(m).

Energy Rating Index (ERI): Relative energy performance of a rated design or constructed dwelling.

Federal Historic Rehabilitation Tax Credit: <https://www.nps.gov/tps/tax-incentives.htm>.

HERS Rating: Standard by which a home's energy efficiency is measured.

HOME Investment Partnership: https://www.hud.gov/program_offices/comm_planning/home

Housing Choice Voucher: https://www.hud.gov/program_offices/public_indian_housing/programs/hcv/about

ICC 700 National Green Building Standard: <https://www.nahb.org/advocacy/industry-issues/sustainability-and-green-building/icc-700-national-green-building-standard>

Issuer's Delegation of Determination Letter: IDA letter requesting to delegate the determination of qualification under I.R.C. §42(m)(2)(D).

Leadership in Energy & Environmental Design: <https://www.usgbc.org/leed>.

LOCCS Balance: https://www.hud.gov/program_offices/cfo/lococs_guidelines.

Model Content Standards: <https://www.housingonline.com/councils/national-council-housing-market-analysts/model-content-standards/>.

Native American Housing Assistance and Self Determination Act (NAHASDA): https://www.hud.gov/program_offices/public_indian_housing/ih/codetalk/nahasda.

Opportunity Zone: <https://www.irs.gov/credits-deductions/businesses/opportunity-zones>.

Ownership Entity: LLC or limited partnership named as the owner in Part I(C) of the Form(s) 8609 and in contracts with ADOH.

Passive Housing Institute US: <https://www.phius.org/home-page>.

Place in Service: The day a building receives a certificate of occupancy and is ready and available for its specifically assigned function.

Rehabilitation Hard Costs: Line 47 in the "Costs and Eligible Basis" of the underwriting spreadsheet.

Residential Floor Area (RFA): Is measured from the *inside face* of the entire unit perimeter walls "paint to paint." RFA includes air-conditioned space but does not include patios, balconies, breezeways, or exterior storage closets. Do not deduct any interior walls.

Scattered Site: Buildings which would (but for their lack of proximity) be treated as a single Project.

TDHE: Tribally Designated Housing Entity.

Tribal Project: Projects located on Tribal Land.

Uniform Standards of Professional Appraisal Practice: Ethical and performance standards for the appraisal profession in the United States.

US Department of Energy Zero Energy Ready Home Program: <https://www.energy.gov/eere/buildings/zero-energy-ready-homes>.

USDA-Rural Development: <https://www.rd.usda.gov/>.

Exhibit A | ADOH QAP 2026-2027

Design Standards

I. General Design

- A. The building design must be appropriate and integrated into the topography.
- B. The site plan and preliminary plans submitted with the application must show project amenities.

II. Building Code Standards

Unless otherwise stated, all projects MUST meet or exceed 2018 International Code Standards in conjunction with the 2021 IECC or 90.1 ASHRAE.

III. Site, Location, and Neighborhood

A. Walkable Neighborhoods – Sidewalks and Pathways

Site plans must demonstrate that the project is connected to the pedestrian grid, and describe sidewalks or other all-weather pathways within a multifamily property linking residential development to public spaces, open spaces, and adjacent development (where permitted). Sidewalks must meet local, State, and Federal accessibility guidelines. This section is only applicable to areas with existing connectable uses and will not be required for new growth areas with no surrounding connectable uses.

B. Erosion and Sedimentation Control

Project plans and specifications must implement EPA's Best Management Practices for erosion and sedimentation control during construction and refer to EPA documents for Storm Water Management for Construction Activities.

IV. Interior Design

A. Unit Size

The minimum and maximum Residential Floor Area (RFA) requirements below:

- apply to new construction projects and rehabilitation projects in which the Applicant is changing the structure of the unit with respect to the number of bedrooms or the exterior footprint of the unit;
- exclude any Balcony, Porch, Deck, or patio that may be attached to the Unit for the tenant's use

Unit Size	Minimum RFA	Maximum RFA
Efficiency	380 net square feet	585 net square feet
1 bedroom	575 net square feet	735 net square feet
2 bedrooms	800 net square feet	973 net square feet
3 bedrooms	1,050 net square feet	1,243 net square feet
4 bedrooms	1,200 net square feet	1,360 net square feet
5 bedrooms	1,350 net square feet	1,700 net square feet

ADOH will allow for a ten percent (10%) increase in unit square footage for single-family home projects and a thirty percent (30%) increase for Tribal Projects. Applicants may submit a waiver request for projects using innovative housing typologies not meeting these requirements.

B. Room Requirements

- The minimum bedroom size must be at least 100 net square feet.
- Kitchens must be equipped with pantries, which must be either free standing closets with shelving, full-height casework, or equivalent for Type A units. For rehabilitation projects, if the property does not already include kitchen pantries, that information should be stated in the initial application, and will not be required to be added.
- Units must include linen closets or cabinets and general storage for items such as suitcases and sport equipment (may be an interior closet or closet located outside each unit, and may not be shared with a gas water heater).
- Garages and Carports attached to a unit are limited to 300 net square feet for a two (2)- or three (3)- bedroom unit, and 600 net square feet for a four (4)- or five (5)-bedroom unit.

V. Exterior Design

- A. Building design must incorporate durable low maintenance exteriors that are appropriate to the climate and surrounding areas.
- B. Plans must include a complete landscape plan, designed by a licensed landscape architect, which maximizes existing natural features or otherwise enhances open space. Wherever possible, native plants must be used. Landscape plans must also detail a complete automated irrigation system and scheduling as necessary to maintain the landscaping.
- C. Project must use xeriscaping. Internally located lawn areas of minimal size are permitted for specific uses, such as play areas. Fire wise® design principles are recommended in areas susceptible to wildfires.
- D. Trash/Recycle removal areas must be screened.
- E. Buildings and dwelling units must be individually marked with visible, contrasting, identifying devices as required by local police, fire, and other emergency services to minimize their response time. The building identifying devices must be appropriately lit from dusk until dawn, while observing dark sky lighting strategies.

VI. Large Unit Design

For units with three (3) or more bedrooms:

- The areas of common spaces of units, living area, kitchen, dining, etc., must increase in proportion to the number of bedrooms.
- Three (3)-bedroom units must have at least one and three-quarter (1.75) baths. Four (4) and five (5)-bedroom units must have at least two (2) full baths.

VII. On-site Playground Areas

This section is not applicable to Senior projects.

- A. Recreational facilities must be provided for different age groups. For example, a sandbox within sight of units can be provided for children under 5; a “tot lot(s)” for ages five (5) to twelve (12); and a sport court, pool, or area in the clubhouse for ages twelve (12) and older.
- B. Play areas and playgrounds for children must be located away from areas with high volume automobile traffic and situated so that the play area is visible from the maximum number of dwelling units possible for safety.

- C. Designated play areas and playgrounds are considered “common areas” and must be on an accessible route in accordance with applicable accessibility codes. Equipment must also meet accessibility requirements.
- D. A bench must be provided at play areas and playgrounds to allow a child’s supervisor to sit and rest comfortably. All benches must be anchored permanently, on an accessible route, be weather resistant, and have a back.
- E. A “warning” sign must be posted to advise residents and guests that using a playground is at their own risk. The sign must be posted at a visible location and use contrasting colors for better visibility.

VIII. Common Areas Facilities

A. On-Site Laundry Facilities

1. If washer/dryer hookups are not available in each dwelling unit, the owner must provide a minimum of one (1) washer and one (1) dryer per twelve (12) dwelling units within common laundry facilities. Common laundry facilities must include the following:
 - Front-load washers/dryers compliant with ADA standards.
 - An installed “folding” table or countertop.
 - A seating area.
 - An interior or exterior window and adequate entrance lighting, which must be on from dusk to dawn to assist in greater security during evening hours.
2. If washer/dryer hookups are accessible and available in each dwelling unit, but the owner does not provide washers and dryers to the tenant, the owner must provide common laundry facilities with a minimum of one (1) washer and one (1) dryer per twenty (20) dwelling units in the common laundry facility.
3. If washer/dryer hookups are available in each dwelling unit and the owner provides washers and dryers for each unit, the owner need not include common laundry facilities so long as it does not charge for washers and dryers.

Note: If any tenant units include residential laundry closets and/or washer dryer hookups, the laundry closets and hookups must be accessible for tenant use. Owner equipment, including washers and dryers, may not be stored in residential units even if the owner elects to utilize a common laundry facility

B. Community/Office Space

1. All developments must have a community room on site.
2. All developments with twenty (20) or more residential dwelling units must have a site office of at least 200 square feet (inclusive of an accessible toilet facility) and a maintenance room of at least 100 square feet. Single-family projects are exempted from this requirement if the Applicant provides evidence that the Project is part of a phased development for which such facilities were already constructed in prior phases of the development.

IX. New Construction

A. Site Work

1. A geotechnical investigation report by an Arizona Registered Engineer is required.

2. Site drainage must conform to the recommendations of the geotechnical investigation report or the following minimum slopes required for proper drainage, whichever is the most restrictive:
 - Slopes away from foundations: five percent (5%) or 6 inches in first 10 feet.
 - Design slopes on paved areas shall be sufficient to prevent ponding.
 - Exterior grade adjacent to buildings shall be shown a minimum of 6 inches below the top of slabs on grade.

B. EV Ready Parking Spaces

ADOH will allow EV ready parking spaces in the following ratios: one (1) space for ten (10) or less total parking spaces and ten percent (10%) for more than ten (10) parking spaces.

C. Foundation and Slabs

Slab on grade foundations must be designed by an Arizona Registered Structural Engineer per the geotechnical report recommendations.

D. Frame Construction

- The framing system will be dictated by the methods selected to meet the International Energy Conservation Code requirements, sound barrier requirements, and engineer's specifications. Exterior walls must be designed to achieve a thermal resistant value per local code or better.
- Floor-ceiling truss assemblies must be fabricated in the State of Arizona.

E. Roof

Roof Sheathing must be called out on the Structural Roof Framing Plan. Required: minimum ½-inch exterior grade plywood or (½)-inch exterior grade OSB (oriented strand board). All sheathing must be gapped 1/8-inch on the edges and ends.

- Pitched Roof: Roofing systems must have a minimum life of thirty (30) years, a ten (10)-year material and labor warranty, be installed per manufacturer's specifications with wood truss framing, and have a minimum slope of 3:12.
- Low-Sloped Roof: Low-Sloped roofs must have a minimum 3/8"/1' slope and have a minimum rated life of twenty (20) years and a ten (10)-year material and labor warranty.

F. Electrical

Install ENERGY STAR qualified light fixtures or LED light bulbs in all interior unit fixtures and use ENERGY STAR or LED light bulbs in all common areas and outdoors.

G. Plumbing

1. Include durable fixtures for bathroom sinks, toilets, tubs/shower and surrounds.
2. Mandatory water conservation devices shall include the following maximum flow rates:

Fixture Maximum Flow Rate

Toilets	1.1 GPF (or dual flush)
Showerheads	1.75 GPM
Kitchen faucets	2.0 GPM
Bathroom faucets	0.5 GPM

3. All accessible clothes washers must be front loading or horizontal axis. All other washers must be

rated Tier 2 or greater by the Consortium for Energy Efficiency ("CEE").

4. No plumbing may be directly in exterior framed walls in cold climates where the exterior temperature may go below 32°F. Projects located in warmer climates where the temperature may reach 32°F or higher must either ensure that there is adequate insulation to prevent pipes from freezing or run plumbing through interior walls only.

H. Doors

1. Interior: Paint grade pre-hung hollow-core interior doors with residential grade finish hardware or better with universal design handles are required throughout.
2. Single cylinder deadbolts and eye viewers are required on all entry doors to residential units in compliance with accessibility codes.

I. Floors

1. Floor base, painted or pre-finished, must be provided.
2. Materials that have smooth, durable, cleanable surfaces must be used in wet areas. Do not use mold-propagating materials such as vinyl, wallpaper, or unsealed grout.
3. All carpets must be Green Label Plus certified by the Carpet and Rug Institute.
4. Water resistant floor coverings or concrete must be installed under hot water heaters.

J. Walls & Ceilings

All walls and ceilings must:

- be painted with low-VOC paint coatings as defined by Green Seal or similar;
- use 5/8" gypsum board throughout; be moisture resistant at substrate for tiled areas at water closet;
- include glass mat water-resistant gyp board or cementitious backer unit for wall tile at tubs and showers; and
- use type "X" or "C" at areas required by prevailing building code.

K. Appliances

1. All units must include a refrigerator, disposal, dishwasher, range/oven, exhaust hood above range, and microwave. If refrigerators with ice-makers are installed, the ice-maker must be functional, and connected to the waterline.
2. All new construction projects must have the exhaust hood above the range vented to the outside.
3. For rehabilitation projects only:
 - If the microwave is also the range hood and recirculates the air, it must include a carbon filter
 - Units do not need to include the following items, but their exclusion must be specified in the initial application. If the appliances are already part of the project, they must meet new construction standards and be functional.
 - garbage disposals
 - dishwashers
 - disposals

- microwaves
 - exhaust hoods above the range
4. All Appliances where ENERGY STAR rating is available shall be ENERGY STAR.

L. Cabinets

Cases must be solid wood, MDF or particleboard with durable laminate. Countertops must be at least durable laminate.

M. Exterior Stairs, Entrance Landings, and Balconies.

At a minimum, exterior stairs, entrance landings, and balconies must be constructed with precast concrete or cast in place treads on painted steel framing with painted steel guardrails and handrails or a system of equivalent or greater durability and quality.

N. Irrigation

If irrigation is necessary, projects must use recycled gray water, roof water, collected site run-off, water from a municipal recycled water system, or a highly efficient irrigation system including all of the following: system designed by licensed landscape or irrigation professional; plant beds with a drip irrigation system; separately zoned turf and bedding types; a watering zone timer/controller; and a rain sensor.

O. Exterior Fencing

Fence the property to limit non-resident access, as appropriate and required by the Local Government. Gates are not required unless specified by the Local Government or as otherwise needed to provide access from one property to another for services, etc. Installed fencing and gates shall be designed for permanent use. Construction chain link fencing and padlocks must be removed upon certificate of occupancy.

P. Exterior Finish

Select a finish material that will withstand extended weathering in the project location.

- Desert and mountain localities: at a minimum, three-coat cement stucco with metal expansion joints, or 3/8-inch, fiber-reinforced stucco on wire lath, on 1-inch foam insulation.
- Mountain localities at higher elevations: various siding products (cementitious board or vinyl) may be substituted for stucco if warranted by the manufacturer for a minimum of thirty (30) years.

Q. Site Lights

1. For security purposes, provide adequate site lighting at the rear of all buildings in compliance with the recommendation of the Illuminating Engineering Society of North America (IESNA), pedestrian walkways, parking, corridors and stairways. Adhere to dark sky design strategies and minimize light trespass to adjacent properties (0.5 fc at property line) confirmed by a photometric study.
2. Install daylight photocells or timers on all outdoor lighting for dusk to dawn operation.

R. Bathrooms

1. Tiled tub and shower wall areas require a cementitious wall board or glass mat water-resistant gyp board.

2. Durable toilet accessories must include a medicine cabinet with a mirror and towel bar.

S. Energy Conservation

New construction buildings must achieve a HERS Index of sixty-five (65). Buildings being rehabilitated must achieve a HERS Index that equates to a fifteen percent (15%) reduction in energy usage over the existing building condition.

1. Air and Thermal Barrier Requirements:

- Projects are required to comply with all air sealing and insulation installation criteria outlined in Table R402.5.1.1 of the 2024 IECC. These requirements are to be enforced regardless of whether the building is deemed a residential or commercial building by the IECC.
- Envelope air leakage testing (blower door testing) shall be performed by a qualified third party and envelope air leakage rate requirements shall be aligned with the 2024 IECC Section R402.5.1.3.

2. HVAC Requirements:

- Projects shall ensure all space heating and cooling systems meet the current energy efficiency standards (e.g., SEER) for the system type set forth by the U.S. Department of Energy. All systems shall be sized according to ACCA Manual J, S, and D or follow an equivalent software or standard approved by ADOH.
- Electric resistance heating is only acceptable as supplemental heating, and is not permitted as a primary heating method in any climate zone. No atmospherically venting gas appliances are permitted within the building thermal envelope.

3. Forced Air Distribution Systems:

- All joints in the air distribution system shall be sealed with duct mastic or approved equivalent to comply with IBC, IRC or IMC.
- HVAC supply and return cans/boots shall be sealed to drywall if the boots are located adjacent to an unconditioned space. In the case of sealed attics (indirectly conditioned space), sealing these cans/boots is recommended but not required.
- Duct leakage testing is required to be performed by a qualified third party (e.g., RESNET HERS Rater) and the maximum total duct system leakage shall be in alignment with 2024 IECC Table R403.3.8. Sampling is acceptable per 2024 IECC Guidelines.
- A bedroom pressure relief strategy is required. Door undercuts alone are not sufficient. Testing by a qualified third party is required and, under normal operating conditions, the air handler cannot create a differential pressure greater than +/- 5 Pa between the bedroom and the main body of the dwelling unit. If the dwelling unit is less than 800 square feet, a room pressure relief has been installed, and the dwelling unit has been subject to air-balancing by a qualified third party or HVAC subcontractor, the pressure differential may be adjusted to +/- 7.5 Pa.

4. Indoor Air Quality:

- Exhaust hoods above ranges must be vented to the outside. Install power vented fans or range hoods that exhaust to exterior.
- All bath fans must be ENERGY STAR qualified, exhausted to the outdoors, and connected to a switch or timer. In the event the bath fan is installed in a ceiling adjacent to unconditioned space, the housing shall be sealed to the drywall with caulk or equivalent.

- Conventional clothes dryers must exhaust directly outdoors and the ducts shall meet the installation requirements of the 2024 IMC. Alternatively, ENERGY STAR qualified heat pump clothes dryers may be installed without ducting to the outdoors, but these are subject to manufacturer requirements for condensation removal.
- Unvented combustion appliances (fireplaces, heaters or gas logs) are not allowed.
- A hardwired carbon monoxide detector shall be installed in all units with an attached garage or with any combustion appliance located in the conditioned space. **Atmospherically vented gas furnaces and water heaters are not allowed within the building's thermal envelope.**
- Applicants must install a ventilation system for the dwelling unit, providing adequate fresh air per ASHRAE 62.1-2007 for buildings over three stories, or ASHRAE 62.2 for single family and low-rise multi-family.
- All particleboard and MDF must be certified compliant with ANSI A208.1-2009 Particleboard and ANSI A208.2 -2009 MDF for Interior Applications. All adhesives shall comply with Rule 1168 of the South Coast Air Quality Management District and be low VOC products. Caulks and sealants must comply with Regulation 8, Rule 51 of the Bay Area Air Quality Management District and be low VOC products.
- All interior paints and primers must be rated low VOC.

X. Sensory Impairment Design Requirements

This section applies to all projects. The sensory impairment units must not overlap with the ADA units.

Two percent (2%) of units must be equipped with the following sensory impairment design requirements:

- Lighted switches for garbage disposal, range fan, and bathroom fan. Both visual and audible notification for doorbell and fire alarm,
- Construction finish materials and techniques that minimize reverberation and improve sound control.
- Lighting design and window placement that minimizes glare to facilitate communication in American Sign Language. Light fixtures shall be selected and located to minimize glare that can interfere with seeing hand motions or reading lips.

The following sensory impairment design requirements apply to both sensory impairment units and common areas:

- Windows on the west and south facing walls that receive the most direct sunlight must be sized and located appropriately.
- Exterior awnings with both visual and audible notification may be used to help prevent glare switches for garbage disposals, range fans, and bathroom fans.

The following sensory impairment design requirements apply only to common areas:

- Open sightlines in community rooms, meeting areas, landings, stairwells, and other building areas to remove visual communication barriers.
- Large community rooms intended for gatherings of more than one hundred (100) people shall include a loop amplification system. Loop systems must be designed to work with hearing aids to help residents with a hearing impairment, especially in group settings (installation involves additional wiring inside building walls). ADOH may accept alternatives to loop amplification systems that meet the same purpose.

- Elevators must provide visual emergency indicators and information to deaf individuals trapped in a malfunctioning elevator, including lighted buttons that can be pressed from outside the elevator to signal to those inside the cab that assistance is on the way. An interior emergency button must also be installed to trigger a visible response to indicate that a request for assistance has been received.
- Wider hallways and larger community rooms and elevator lobbies must be provided to accommodate the additional spacing requirements for individuals communicating in American Sign Language.
- Community Room furnishings must be designed and functional for deaf persons. For example, tables shall be rounded rather than rectangular to allow all persons seated at the table to see each other more easily during conversations.
 - Accessibility features for residents with mobility impairments and physical disabilities must be located throughout all buildings (1) with sensory impairment or ADA units or (2) that include common areas used by residents.
 - Handrails must be located on one side of common hallways.
 - Automatic door openers must be installed on at least one (1) door at all main entrances to the buildings.
 - A proportional percentage of washers and dryers to ADA and sensory impairment units in the project must be front loading.

XI. Rehabilitation Projects

Applications must propose a scope of work appropriate to the building(s), as reflected in the CNA. All additions must comply with the minimum new construction design standards, the latest adopted local building and energy codes, and the standards in 24 C.F.R. §§ 5.703 and 5.705 (Uniform Physical Conditions Standards or “UPCS”).

- A. Where applicable, install insulation such that there are no gaps, voids, compression, or wind intrusion. The insulation and air barrier (e.g., gypsum board) must be continuous and aligned in all cases.
- B. Common areas must be handicap accessible.
- C. Upgrade site and exterior dwelling lighting in compliance with the latest adopted code and Arizona State Dark Sky Ordinance.
- D. Upgrade landscaping/fencing.
- E. All installed exterior finish materials must withstand extended weathering (minimum ten (10)-year performance) in the project’s location.
- F. Provide porches or other aesthetic features to enhance the exterior quality and interests of the project.
- G. A qualified third party (e.g., a RESNET HERS Rater) must create an “Energy Improvement Assessment Report” (a comprehensive inspection and review of the project’s overall energy efficiency) covering both dwelling units and common areas, and include inspections on a minimum of ten percent (10%) of dwelling units. In addition, duct leakage testing, blower door testing, and room pressure testing must be conducted on a minimum of five percent (5%) of the project’s dwelling units. The third-party assessment shall evaluate all unit types and configurations. The Report will document existing conditions—including the building thermal envelope, as well as mechanical, plumbing, and electrical systems—thus establishing a baseline for the building’s current energy performance and also highlight opportunities for energy saving improvements. For example, the report might identify older, inefficient space cooling systems and recommend replacing them with

higher-efficiency equipment. If atmospherically venting appliances are located within the dwelling unit's building thermal envelope, these appliances must be identified in the report.

Once the project ownership has decided on specific energy-efficiency measures, a qualified third party must prepare separate study to compare the baseline HERS/ERI Score with the weighted average HERS/ERI Score of the proposed improvements. This study must demonstrate at least a fifteen percent (15%) improvement over pre-renovation performance. The study must include a summarized report detailing the fifteen percent (15%) improvement and all improvement measures used in the modeling. The existing review must be acceptable to be submitted with Projected HERS / ERI Certificates.

- H. Improve quality of interior conditions and fixtures, including carpet, vinyl, interior doors, painting, drywall repairs, cabinets, appliances, light fixtures in compliance with the latest adopted code, and mini-blinds.
- I. Upgrade bathrooms and kitchens to New Construction standards.
- J. For properties built before 1978, use lead-safe work practices during renovation, remodeling, painting, and demolition.
- K. All exposed or altered areas of the building envelope during rehabilitation must be brought into compliance with the 2024 IECC. In the event that the building design does not allow for sufficient insulation to meet the new standard, follow 2024 IECC Section R503 for Alterations. Envelope leakage testing thresholds is not required.
- L. HVAC Efficiency Requirements
 - All dwelling units subject to a full system change out of space heating and cooling systems must be subject to the new construction requirements outlined above. Projects may continue to use electric resistance heating as primary space heating system.
 - If the atmospherically venting gas furnace is not removed during the rehabilitation, ownership must enlist a qualified third party (e.g., BPI professionals or HERS Raters) to conduct additional testing on one hundred percent (100%) of dwelling units post-rehab to ensure that the rehabilitation measures performed did not adversely affect the ability of the appliance to properly draft.
- M. Forced Air Distribution Systems:
 - All accessible joints in the air distribution system must be sealed with duct mastic or approved equivalent to comply with IBC, IRC, or IMC.
 - Duct leakage testing is required as part of the HERS / ERI Rating. There are no targets / thresholds for dwelling unit rehabilitation projects unless both the air handler unit and one hundred percent (100%) of the ductwork was previously replaced. In cases where ductwork is new and air handlers are replaced, defer to 2024 IECC for duct leakage testing requirements based on configuration of the system(s).
 - HVAC supply and return cans/boots shall be sealed to drywall if the boots are located adjacent to an unconditioned space. In the case of sealed attics (indirectly conditioned space), sealing these cans/boots is recommended but not required.
- N. Complete a Phase I Environmental Assessment for all projects, and a Phase 2 if applicable.
- O. Complete a Hazardous Materials Study (asbestos and lead paint) for projects built before 1980.
- P. Prepare a CNA meeting the following requirements:
 - 1. The CNA report must be prepared by a licensed professional architect or engineer who can

substantiate a minimum of five years' experience providing CNA reports in accordance with ADOH standards, and who performs the assessment and supplies ADOH with their professional opinion of the property's current overall physical condition. The preparer must have no financial interest in the project and no identity of interest with the Developer.

The CNA must include the application form from the LIHTC Application, conform to each of the requirements in this Section, identify significant deferred maintenance, existing deficiencies, and material building code violations that affect the property's use and its structural or mechanical integrity, and analyze the following building components:

- a. Site, including topography, drainage, pavement, curbing, sidewalks, parking, landscaping, amenities, water, storm drainage, gas and electric utilities and lines.
 - b. Structural systems, both substructure and superstructure, including exterior walls and balconies, exterior doors and windows, roofing systems, and drainage.
 - c. Interiors, including Unit and common area finishes (carpeting, vinyl tile, interior walls, paint condition, etc.), Unit kitchen finishes and appliances, Unit bathroom finishes and fixtures, and common area lobbies and corridors.
 - d. Mechanical systems, including plumbing and domestic hot water, HVAC, electrical, and fire protection.
 - e. Elevators (if applicable).
2. The CNA must include a building life cycle study that lists each building component, the base cost, and opinions of immediate probable costs (i.e., critical repair items) within two (2) years and within ten (10) years. The CNA must additionally include an analysis of the reserves for replacement needed to fund long-term physical needs of the Project (accounting for inflation) the existing reserves for replacement balance, and the expected useful life of major building systems.
 3. The CNA must also include the following major parts:
 - a. All health and safety deficiencies or violations of UPCS under 24 C.F.R. § 5.705 that require immediate remediation. If the Project has tenants, these repairs must be the first priority.
 - b. Repairs, replacements, and significant deferred and other maintenance items that need to be addressed within twenty-four (24) months of the date of the CNA. Include any necessary redesign of the Project and market amenities needed to restore the property to ADOH standards.
 - c. Repairs and replacements beyond the first two (2) years that are required to maintain the Project's physical integrity over the next twenty years, such as major structural systems.
 4. The professional preparing the CNA report must:
 - a. Conduct site inspections of a minimum of thirty-five percent (35%) of all Units, including all vacant units. Units must be randomly sampled, but must also include a pro-rata portion of each type of Unit while taking into consideration the Unit size mix, e.g., one (1) -bedroom, two (2)-bedroom, etc.
 - b. Identify any physical deficiencies as a result of i) visual survey; ii) review of pertinent documentation; and iii) interviews with the property owner as of the date of the CNA, management staff, tenants, community groups, and government officials.
 - c. Identify physical deficiencies, including critical repair items, two (2) year physical needs, and long-term physical needs, including repair items that represent an immediate threat to health and safety and all other significant defects, deficiencies, items of deferred

maintenance, and material building code violations that would limit the expected useful life of major components or systems.

- d. Explain how the Project will meet the requirements for accessibility to persons with disabilities. Identify the physical obstacles and describe methods to make the Project more accessible, and list needed repair items in the rehabilitation plan.
- e. Prepare a rehabilitation plan, addressing separately all two (2) year and long- term physical needs.
- f. Conduct a cost/benefit analysis of each significant work item in the rehabilitation plan (items greater than \$5,000) that represents an improvement or upgrade that will result in reduced operating expenses (e.g., individual utility metering, extra insulation, thermo-pane windows, setback thermostats). Compare the cost of the item with the long-term impact on rent and expenses, taking into account the remaining useful life of building systems.
- g. Include a site visit and physical inspection of the interior and exterior of the units and structures, as well as an interview with available on-site property management and maintenance personnel to inquire about past repairs/improvements and an examination of invoices, contracts or work orders relating to the repairs/improvements over the last twenty-four (24) months, pending repairs, and existing or chronic physical deficiencies. Any information from the interview must be included in the CNA. The assessment must also consider the presence of hazardous materials on the site.

XII. Housing for Seniors

- A. Projects that are intended to serve eighty percent (80%) or more senior individuals must consist of single-story buildings or multi-level buildings with elevators serving all levels of the building. All projects must comply with local, state, and Federal accessibility requirements and must provide the following:
 1. Grab bars in all type A units and reinforcement for future grab bars in all type B units.
 2. Handheld showerheads in all units.
 3. Microwave at countertop height.
 4. Front mounted cooktop controls.
- B. A community amenity suitable for Seniors (i.e., walking path, community garden, or outdoor sitting area) must be shown on the application site plan.

III. Exhibit B

Appraisal Requirements for Projects Involving Acquisition

New Construction. A land only Appraisal of real property that is not subject to a lease must be provided as part of the Application.

Acquisition/Rehab or Adaptive Re-use. The Appraisal must include separate values for the land and the buildings, allocated in accordance with this QAP. For projects with Single-Family detached homes, the Appraisal must include a separate valuation and inspection of at least twenty-five percent (25%) of each unit type and condition.

Tribal. Projects on Tribal land may submit cost-based appraisals utilizing the appraisal guidebook published by the U.S. Department of Housing and Urban Development, Valuation Analysis for Single Family One (1) to Four (4) Unit Dwellings, Directive 4150.2, including an estimate of depreciation on

improvements using an economic age-life method of estimating depreciation using the following assumptions:

- The total Economic Life shall be forty-five (45) years for framed houses and fifty (50) years for masonry houses based upon Marshall and Swift life expectancy estimates for a low-cost house. Improvements with an Actual Age greater than the applicable forty-five (45) or fifty (50) years in the preceding sentence are not eligible for an Acquisition/Rehabilitation Project unless they have undergone sufficient rehabilitation within the applicable past forty-five (45) or fifty (50) years that has brought them to a condition that otherwise demonstrates that the improvements should not be demolished and re-constructed.
- The Effective Age shall be the Actual Age of the improvements unless documented improvements have been made to reduce the Effective Age. However, the lack of typical maintenance may increase the Effective Age of the improvements. Documentary evidence of the improvements (such as proof of payment of invoices) shall be included in the Appraisal.
- The Replacement Cost estimate shall be taken from the most recently published Marshall and Swift's Residential Cost Handbook.

Appraisal Validation. ADOH may select a second appraiser to provide an Appraisal at the Applicant's expense and use the lower value of the two in its underwriting. Applicant will provide any further information requested by ADOH. ADOH will be present during all inspections of the property pursuant to the second Appraisal.

IV. Exhibit C

Construction Completion and Payment Security Requirements

This Exhibit sets forth the binding construction completion and payment security requirements applicable to all LIHTC projects administered by ADOH under the QAP. This Exhibit is incorporated by reference into the QAP pursuant to QAP §§ IV.A and VII.A, and compliance with its requirements is a mandatory condition of reservation, carryover allocation, § 42(m) determination, and all other program approvals.

Effective Date: October 1, 2026

Purpose and Authority

This Exhibit establishes the construction completion and payment security requirements for all LIHTC projects subject to the QAP. ADOH administers these requirements through its authority under IRC § 42(m), which provides that allocating agencies shall administer credits pursuant to an approved QAP and related procedures and through award and post-award documents incorporated by reference into the QAP. See QAP §§ IV.A (Construction Completion and Payment Security), VII.A (Post-Award Requirements, incorporating this Exhibit by reference). Consistent with industry standards and to promote enforceability, ADOH's baseline requires 100 percent performance and 100 percent payment bonds using the AIA A312-2010 bond forms or an ADOH-approved equivalent, including any successor edition of the A312 forms adopted by ADOH through information bulletin, with limited alternatives available in defined circumstances at ADOH's discretion.

Definitions

For purposes of this Exhibit, the following terms are used consistently with common usage in ADOH's QAP and in AIA's bond instructions:

"§ 42" means IRC Section 42, 26 U.S.C. § 42.

"§ 42(m) determination" means ADOH's determination of qualification of tax credits for a tax-exempt bond-financed project.

"A312-2010" refers to the American Institute of Architects (AIA) A312-2010 Performance Bond and the AIA A312-2010 Payment Bond, which are separate bonds published together and must be executed separately.

"Construction Contract" means the executed agreement between the owner and general contractor for the bonded work.

"Construction Contract price" means the total contract sum as stated in the executed Construction Contract, including approved change orders but excluding contingency allowances not yet authorized.

"Department Circular 570" (also referred to as the "T-List") means the U.S. Department of the Treasury's Listing of Approved Sureties, administered by the Bureau of the Fiscal Service pursuant to 31 U.S.C. §§ 9304-9308 and 31 C.F.R. Part 223.

"Firm commitment" means ADOH's written commitment to allocate or reserve credits for a specific project, subject to satisfaction of stated conditions.

"QAP" means ADOH's Qualified Allocation Plan for the relevant allocation cycle.

"Substantial rehabilitation" means rehabilitation work in which the total cost equals or exceeds the greater of (i) 25% of the adjusted basis of the building or (ii) \$25,000 per unit in rehabilitation hard costs (or such other per-unit threshold as specified in the QAP for the applicable allocation cycle).

"Vertical construction" means physical construction activity above the foundation level, excluding site preparation, grading, and utility installation.

Other capitalized terms have the meanings used in ADOH's QAP and the AIA A312-2010 forms.

Construction Completion and Payment Security Requirements

All LIHTC projects within the scope of the QAP shall maintain construction completion and payment security meeting the standards set forth in this Exhibit as a condition of reservation, carryover allocation, § 42(m) determination for bond-financed projects, and other program approvals specified in ADOH's award and post-award documents. See QAP §§ IV.A, V.A.1, and VII.A. ADOH's baseline completion and payment protection consists of a performance bond guaranteeing completion and a payment bond guaranteeing payment to eligible claimants, each in an amount equal to 100% of the total Construction Contract price, which are issued on AIA A312-2010 bond forms or an ADOH-approved equivalent. The AIA A312-2010 forms are widely used, define conditions precedent, obligee, and surety responsibilities, and claim response timelines. The forms must also be executed as two separate bonds, even though they are published together.

ADOH will accept an equivalent form only when it preserves the essential A312-2010 mechanics, including the "considering default" notice to the Contractor and Surety, the default declaration and termination, the Owner's commitment to make the balance of the Contract Price available for completion, the surety's election among completion options, and the seven-day additional notice deeming surety default if the surety fails to act with reasonable promptness.

Pursuant to the QAP, sponsors are expected to name the State as an additional obligee on both the performance and payment bonds, together with the senior construction lender and, as applicable, any tax-exempt bond issuer or trustee, provided that any multiple-obligee rider preserves the A312-2010 conditions and does not expand the surety's liability beyond the bond form. Additional obligees are subject to the terms of the A312-2010 performance and payment bonds, and cannot circumvent the forms' notice, termination, and other conditions precedent, which are critical to preserving the enforceability of the State's rights under the bonds. Bonds must be issued by a corporate surety that is

both authorized to transact surety business in Arizona and appears on Department Circular 570. ADOH expects an A.M. Best financial strength rating of at least A- or better. Department Circular 570 is administered by the Bureau of the Fiscal Service and is the federal government's authoritative list of companies holding certificates of authority as acceptable sureties on federal bonds, with single bond underwriting limitations and reinsurance rules published for verification.

In limited circumstances in which traditional bonding is demonstrably unavailable or uneconomic relative to risk and project size, ADOH may accept functional equivalents that, in ADOH's sole judgment, provide comparable assurance of timely completion and payment. These equivalents may include (1) an irrevocable, evergreen (auto-renewing) standby letter of credit issued by a Federal Deposit Insurance Corporation (FDIC)-insured U.S. commercial bank or Arizona state-chartered bank maintaining a credit rating acceptable to ADOH, which must be in an amount not less than 25 percent of the Construction Contract, or (2) a corporate completion guaranty supported by objective financial covenants and collateral. Any accepted letter of credit must clearly define draw conditions keyed to construction default and failure to cure, identify ADOH and applicable financing parties as beneficiaries, remain effective through completion, and be documented with terms consistent with federal standards for irrevocable letters of credit used as security in public contracting contexts. Because payment bonds create direct rights for eligible claimants that letters of credit do not replicate, sponsors proposing a letter of credit in lieu of a payment bond must present an ADOH-approved plan to manage mechanics' lien exposure and subcontractor payment risks to a standard commensurate with A312-2010 payment bond protection.

Implementation and Compliance

ADOH implements these requirements through the QAP and associated award and post-award procedures. ADOH shall require applicants and sponsors to provide evidence of compliance at defined milestones and to maintain required security throughout construction and any stated warranty period under the Construction Contract. Prior to the earlier of closing of the applicable land use restriction agreement (LURA) or the issuance of any ADOH firm commitment, and in all cases before any site work or vertical construction, sponsors must provide executed AIA A312-2010 performance and payment bonds at 100% of the Construction Contract price or an ADOH-approved alternative with supporting documentation. For 9% LIHTC awards, ADOH will require bonds or approved alternatives at carryover allocation, at financial closing or construction start, and at construction closeout. For 4% bond-financed projects ADOH will require evidence of continuous maintenance of approved bonding or security as a condition of issuing the § 42(m) determination. Deliverables must include the fully executed bond forms, any multiple-obligee riders, the surety's power of attorney, evidence of the surety's authority to transact in Arizona, current Department Circular 570 status, and verification of the A.M. Best rating, together with correct notice addresses for A312-2010 communications.

The Construction Contract and lender or intercreditor agreements must be structured to enable and not impair compliance with A312-2010 mechanics, including timely issuance of the "considering default" notice to the Contractor and Surety, default declaration and termination procedures, and commitment to make the balance of the Construction Contract price available for completion, as premature supplementation or unilateral completion without satisfying these conditions can expose obligees to loss of bond coverage. ADOH will coordinate with lenders and, for bond-financed projects, with issuers and trustees, as appropriate, to ensure that all obligees adhere to A312-2010 conditions precedent and that actions taken to protect collateral or continue work are sequenced to preserve the surety's election-of-remedy rights. ADOH staff will verify Department Circular 570 listing and the surety's single bond underwriting limitation status and may require evidence of reinsurance or coinsurance if the penal sum exceeds the underwriting limit, consistent with federal surety program practices described in 31 C.F.R. §§ 223.10-223.11.

Failure to deliver or maintain required bonding or an approved alternative constitutes program noncompliance that may lead ADOH to withhold or rescind reservations, deny carryover, withhold a §

42(m) determination, impose fines pursuant to QAP § VII, or pursue other QAP remedies (as authorized by QAP § VII), including referral for potential recapture under § 42 and ADOH's compliance framework. Prior to imposing any adverse action, ADOH will provide written notice of noncompliance specifying the deficiency and a reasonable cure period of not less than thirty (30) calendar days. Sponsors may seek administrative review of any adverse agency action pursuant to applicable law. Sponsors must promptly notify ADOH of any surety downgrades, revocations, or changes in Department Circular 570 status, and ADOH may require substitution of security or a replacement surety to protect the State's interests. ADOH shall publish supplemental implementation details or forms by information bulletin or within post-award manuals.

Applicability and Scope

Irrespective of whether other funding sources impose similar requirements, this Exhibit applies to all LIHTC projects subject to the QAP—including competitive 9% LIHTCs under QAP §§ IV and V.B and 4% LIHTCs with tax-exempt bond financing under QAP § V.A—and must be harmonized with any tax-exempt bond issuer requirements without undermining A312-2010 mechanics. This Exhibit applies to both new construction and substantial rehabilitation projects and remains in effect through construction and any warranty period defined in the Construction Contract, recognizing that ADOH monitors projects for compliance with § 42, U.S. Department of the Treasury regulations, the QAP, and the recorded LURA. Projects already in construction as of the Effective Date must, within ninety (90) days of the Effective Date, provide current bond documentation and, if nonconforming, submit a remediation plan for ADOH approval that includes a timeline for achieving full compliance, identification of interim security measures, and specific milestones to ensure an orderly transition to full compliance while preserving program interests.

Where tax-exempt bond issuer or trustee requirements conflict with A312-2010 mechanics, the parties shall negotiate an intercreditor or cooperation agreement, acceptable to ADOH, that preserves the surety's election-of-remedy rights. ADOH will publish guidance on acceptable intercreditor provisions through information bulletin.

This Exhibit is adopted as part of the 2026-2027 QAP and applies to all projects subject to that QAP, including projects receiving reservations or Determination Letters prior to the Effective Date of this Exhibit.

Compliance Checklists

<i>Requirement</i>	<i>Specification</i>	<i>Verified</i>
<i>Performance Bond</i>	<i>100% of Contract</i>	☐
<i>Payment Bond</i>	<i>100% of Contract</i>	☐
<i>Dual Obligee</i>	<i>State Agency Named</i>	☐
<i>Surety Rating</i>	<i>A- or Higher</i>	☐
<i>Treasury Listing</i>	<i>Department Circular 570</i>	☐
<i>Surety Power of Attorney</i>	<i>Current and Valid</i>	☐
<i>Arizona Licensing</i>	<i>Surety Authorized in AZ</i>	☐
<i>Notice Addresses</i>	<i>Correct for A312-2010</i>	☐
<i>Multiple-Obligee Rider</i>	<i>If Applicable</i>	☐

Alternative Security Checklist (if applicable)

<i>Requirement</i>	<i>Specification</i>	<i>Verified</i>
<i>Irrevocable LOC</i>	<i>≥ 25% of Contract</i>	☐
<i>Issuing Bank Qualifications</i>	<i>FDIC-Insured; Rating Acceptable to ADOH</i>	☐
<i>Draw Conditions</i>	<i>Keyed to Default and Failure to Cure</i>	☐
<i>Beneficiaries</i>	<i>ADOH and Financing Parties Named</i>	☐
<i>Mechanics' Lien Plan</i>	<i>ADOH-Approved</i>	☐

Amendments

ADOH may amend this Exhibit consistent with § 42 and established QAP processes, and shall communicate material changes through adopted QAPs, information bulletins, or updated manuals. Sponsors remain responsible for compliance with § 42, U.S. Department of the Treasury regulations, the QAP, and the LURA, and should consult counsel regarding the completion, modification, and enforcement of AIA A312-2010 bond forms or any alternatives presented to ADOH.

Contact

Questions regarding this Exhibit may be directed to ADOH Rental Programs Administration, Arizona Department of Housing, 1110 W. Washington Street, Suite 280, Phoenix, AZ 85007.